Lab-3: ERP and CRM with Real-Time Examples

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Introduction

A business has many departments (sales, finance, stores, production, HR, support) that all create data. Enterprise software brings that data into one system so teams stop working in silos. ERP and CRM are the two most widely used types: ERP manages the company's internal operations, while CRM manages its relationships with customers.

What is ERP?

ERP (Enterprise Resource Planning) is integrated software that runs a company's core processes on one shared database. When one department updates a record, every other department sees it immediately.

Common modules

- Finance and accounting: ledgers, invoices, payments
- Inventory and warehouse: stock levels, goods in and out
- Purchase and procurement: supplier orders
- Production and manufacturing: planning, work orders
- Human resources and payroll: attendance, salaries
- Sales and distribution: orders, delivery, billing

Benefits

- One version of the truth across all departments
- Less duplicate data entry and fewer errors
- Better planning and faster reporting
- Lower operating costs

Popular ERP products: SAP, Oracle NetSuite, Microsoft Dynamics 365, Tally Prime (for small businesses).

ERP Real-Time Example: Garment Manufacturer Using SAP

A garment company receives an order for 1,000 shirts. The ERP connects every step of fulfilling it:

1. The sales team enters the customer order in the Sales module.
2. The system checks the Inventory module and finds the fabric stock is short.
3. The Purchase module raises a purchase order to the fabric supplier.
4. When fabric arrives, the warehouse records the goods receipt and stock updates automatically.
5. The Production module schedules cutting and stitching.
6. After dispatch, stock reduces and the Finance module generates the invoice.
7. The accounts team records the customer's payment against that invoice.

All seven steps use the same database, so no department re-enters the data.

What is CRM?

CRM (Customer Relationship Management) is software that stores every interaction a company has with its current and potential customers, so sales, marketing and support teams can serve them better.

Key features

- Contact and lead management
- Sales pipeline tracking (lead, proposal, deal won or lost)
- Customer support tickets and complaint history
- Marketing campaigns and email automation
- Reports on sales performance and customer satisfaction

Benefits

- A complete history of each customer in one place
- Faster follow-up on leads
- Better customer service and higher retention
- More accurate sales forecasting

Popular CRM products: Salesforce, HubSpot, Zoho CRM.

CRM Real-Time Example: Online Course Company Using Zoho CRM

An online course company uses a CRM to turn website visitors into paying students:

1. A visitor fills the enquiry form on the website and is saved as a lead.
2. The CRM assigns the lead to a counsellor automatically.
3. The counsellor calls the lead and logs notes and the next follow-up date.

4. The lead moves through pipeline stages: contacted, demo attended, fee quoted.
5. The student enrols and the deal is marked won.
6. If the student has a problem later, a support ticket is raised and tracked to closure.
7. Automated emails ask for feedback and offer the next course.

Because every call, email and ticket sits on one customer record, any team member can pick up the conversation where it was left.

ERP vs CRM

Aspect	ERP	CRM
Full form	Enterprise Resource Planning	Customer Relationship Management
Main focus	Internal operations and resources	Customers and sales
Main users	Finance, stores, production, HR	Sales, marketing, customer support
Data handled	Inventory, orders, accounts, payroll	Leads, contacts, deals, tickets
Goal	Improve efficiency and reduce cost	Increase sales and customer loyalty
Examples	SAP, Oracle NetSuite, Tally Prime	Salesforce, HubSpot, Zoho CRM
Real-time example	Garment factory tracking fabric to invoice	Course company tracking leads to enrolment

How ERP and CRM Work Together, and Conclusion

Many companies connect the two systems. When a CRM deal is won, the order passes to the ERP, which handles stock, production, delivery and billing. The ERP then sends delivery and payment status back to the CRM, so the sales team can answer customer queries without asking other departments.

In short, ERP runs the business from the inside and CRM grows it from the outside. Used together, they give a complete view of both operations and customers.